

SELECT COLLEGE

DEPARTMENT OF ACCOUNTING AND FINANCE

Training Module for the Thematic Area one (Financial Accounting and Reporting)

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Course to be included in the Exit Examination under this Thematic Area:

Thematic Areas	Course Code	Courses to be include	Course ECTS/Credit	
Financial Accounting and Reporting	AcFn2011	Fundamentals of Accounting I	6	4
	AcFn2012	Fundamentals of Accounting II	6	4
	AcFn3021	Intermediate Financial Accounting I	6	4
	AcFn3022	Intermediate Financial Accounting II	6	4
	AcFn4101	Advanced Financial Accounting I	5	3
	AcFn4102	Advanced Financial Accounting II	6	4
	43%	Sub-Total	35	23

(Module part one)

FUNDAMENTALS OF ACCOUNTING I

1.1. INTRODUCTION

Definition: Accounting is defined as the process of **identifying, measuring, recording, classifying, summarizing, analyzing and interpreting economic events (financial transactions) and communicating the results** thereof to the entities interested in such information to enable them make informed judgments. The Three main activities in the definition are as follows: Identifying is to distinguish an event or a transaction that must be recorded. Recording is essentially concerned with not only ensuring that all business transactions of financial character are in fact recorded but also that they are recorded in an orderly manner. Communicating is to mean the accounting information after being meaningfully analyzed and interpreted has to be communicated in a proper form and manner to the proper person. Accounting has rightly been termed as **the language of the business**. Accounting is used to communicate financial information to various parties who have some stake (interest) in the affairs of the business.

Bookkeeping versus Accounting: Many individuals mistakenly consider bookkeeping & accounting to be one and the same. This confusion is understandable because the accounting process includes the bookkeeping function. **Bookkeeping** refers to the art of recording, in a prescribed and systematic way, the economic activities of an organization. It is a part of the accounting process. Accounting however goes beyond recording and includes system design, budgeting, analysis, interpretation, and financial statement preparation and use of information to make decision by users.

Accounting as Information System consists of methods and devices used by an entity to keep track its financial activities and summarize in a manner useful to decision makers. The process of forming an accounting system to provide information is performed as follows: Identification of Users and Information need of users and make Information Processing.

Users of accounting information are classified in to two: Internal and External users. Internal Users are individuals within an organization or business entity that need accounting information of the business for the affairs or administration of business and include management, BOD, department head, corporate officer-chief executive officers, chief operating officers and chief financial officers.

External Users are those individual or institutions inside or outside an economic entity who/which need accounting information about that entity for their own benefit. This group include: owners of the business, potential investors, bankers, suppliers and other creditors, employees and labor union, governmental agencies, etc.

Single versus Double Entry System Accounting: Since the primitive accounting was single Entry System Accounting which records either debit or credit and is incomplete, the evolution of the system of record keeping which was said to be called “Double Entry System” was strongly influenced by Venetian merchants. Double entry system is the recordings process of a transaction into two parts: debit and credit.

Profession of Accountancy: There are two types of job opportunities in accounting: Private and public accounting. In Private Accounting accountants employed by a business firm or NFP/not for profit/ organization. These accountants provide accounting services to one organization a salary basis and do a variety of work including financial accounting, management and cost accounting, budgeting, internal auditing, controller and others. In Public Accounting accountants and their staff who provide services on a fee basis and Public accountant are independent professional persons and provide accounting service to many clients. They provide service such as Auditing, Management advisory services, Accounting System Development. Common specialized accounting fields in accounting are financial accounting, auditing, cost accounting, managerial accounting, tax accounting, accounting systems, budgetary accounting, international accounting, not-for-profit accounting, social accounting and accounting instruction

Types and forms of business organization in Ethiopia: There are three different legal forms of business organization: Sole proprietorship is a business owned and managed by single individual. It is easy to establish the business, least regulated by government, no profit sharing. limited life, limited capital to finance business operation, and unlimited liability the owner is responsible to pay the debt of the business even from his personal asset in case the business unable to meet its liability are the weakness of proprietorship. Partnership is business organization established by two or more persons. It is easier and less expensive to establish than corporation, is not highly regulated by government, with more capital and managerial skill than a single proprietor ship. Limited life, unlimited liability and conflict between partners throughout operating the business are main disadvantageous of Partnership. Corporation is a business organized as a separate legal entity under state. Corporation law with ownership divided into transferable shares of stock. Long life, limited liability and rising huge amount of capital to finance business operation is its strength while double taxation, highly regulated by government and difficulty of controlling management, because ownership and management is divorced in corporation, is its weakness.

According to their type of activities or nature of operations, business organizations are also classified in to three main types: **Service rendering businesses:** are business organizations that are predominantly engaged in rendering of services to customers for the purpose of maximizing profit. Examples: Hotels, restaurants, cafeterias, bars, transport and communication services, professional firms like consultations by accountants, lawyers, engineers etc. **Merchandising businesses** is profit seeking businesses, which are engaged in purchasing and reselling of merchandises. Examples: Supermarkets, boutiques, garment and shoe shops, drug stores, stationary shops, auto spare parts, importers, exporters etc. **Manufacturing businesses** are business organizations that are primarily involved in the conversion of raw materials and part in to finished goods; and sale their finished goods to merchandising enterprises and consumers. Examples: Cement factories, sugar factories, soap factories, textile factories, paper factories, etc.

Basic Assumptions and accounting principles: The five basic assumptions in turn are economic entity, going concern, monetary unit, periodicity, and accrual basis.

1. **The economic entity assumption** states that a company keeps its accounting activity separate and distinct from its owners and any other business unit. Thus, the entity concept does not necessarily refer to a legal entity. A parent and its subsidiaries are separate legal entities, but merging their activities for accounting and reporting purposes does not violate the economic entity assumption. It is related with a particular unit of accountability.
2. **Going Concern Assumption:** say that the company will have a long life. Despite numerous business failures, most companies have a fairly high continuance rate. As a rule, we expect companies to last long enough to fulfill their objectives and commitments.
3. **The monetary unit assumption** means that money is the common denominator of economic activity and provides an appropriate basis for accounting measurement and analysis. That is, the monetary unit is the most effective means of expressing to interested parties changes in capital and exchanges of goods and services.
4. **Periodicity Assumption:** To measure the results of a company's accurately, we would need to wait until it liquidates. Decision-makers, however, cannot wait that long for such information. The periodicity (or time period) assumption implies that a company can divide its economic activities into artificial time periods. These time periods vary, but the most common are monthly, quarterly, and yearly
5. **Accrual Basis of Accounting:** Companies prepare financial statements using the accrual basis of accounting. Accrual basis accounting means that transactions that change a company's financial statements are recorded in the periods in which the events occur

There are four basic principles of accounting to record and report transactions are measurement, revenue recognition, expense recognition, and full disclosure. We look at each in turn

1. Measurement Principles: The most commonly used measurements are based on historical cost and fair value. Selection of which principle to follow generally reflects a trade-off between relevance and faithful representation.

a) **Historical Cost.** IFRS requires that companies account for and report many assets and liabilities on the basis of acquisition price. Cost has an advantage over other valuations: It is generally thought to be a faithful representation of the amount paid for a given item.

b) **Fair Value** is defined as “the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.” Fair value is therefore a market-based measure (exit price). Recently, IFRS has increasingly called for use of fair value measurements in the financial statements. The IASB believes that fair value information is more relevant to users than historical cost.

2. Revenue Recognition Principle: Revenue refers to increases in economic benefits during the accounting period in the form of enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants. When the company satisfies the performance obligation, it should recognize revenue.

3. Expense Recognition Principle: Expenses refers to decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrences of liabilities that result in decreases in equity, other than those relating to distributions to equity participants. Expenses should be recognized in the period in which they are incurred.

4. Full Disclosure Principle: In deciding what information to report, companies follow the general practice of providing information that is of sufficient importance to influence the judgment and decisions of an informed user.

The full [disclosure principle](#), it recognizes that the nature and amount of information included in financial reports reflects a series of judgmental trade-offs.

The Accounting Equation: The whole of financial accounting is based on a very simple idea.

Thus, the accounting equation can be stated as:

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$$

Resources in the Business = Resources Supplied by the Owner, this is true if

the owner of the business has supplied all of the resources.

In accounting the term used to describe the resources supplied by the owner is called Owner's Equity. The term used to describe the actual resource in a business is called Asset. Thus, the accounting equation is:

$$\text{Assets} = \text{Owner's Equity}$$

Liabilities are the term given to the amounts of resource supplied people other than the owners. This is amount of asset owed to others by the business. However, liabilities are placed before Owner's Equity, in the accounting equation, because creditors have preferential right to the assets of the business. In the second place let us assume that people other than the owner have supplied some of the resources (material or financial resources). Thus

Resources in a Business = Resources Supplied by the Owner + Resources Supplied by Others

Definition of elements of financial statements: there are 10 basic elements:

1. **ASSET.** A resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity. eg cash, account receivable, supplies equipment building
2. **LIABILITY.** A present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits. Eg account payable, wage payable bond payable etc.
3. **EQUITY.** The residual interest in the assets of the entity after deducting all its liabilities.
4. **INCOME/Revenue.** Increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants. eg sales, service income. Revenue can have different names such as:
 1. Royalties- revenue from sale of franchise
 2. Fares revenue- a revenue generated by providing transportation service
 3. Fees revenue- by providing professional service
 4. Sales- revenue from sales of goods and services
 5. Rent revenue- from renting real-estate and other equipment
 6. Tuition fee- revenue from providing educational service
5. **Expenses:** Decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrences of liabilities that result in decreases in equity, other than those relating to distributions to equity participants. eg salary expense, rent expenses etc

6. **Investment**- represent the cash or other assets put into the business by the owner of a sole proprietorship
7. **Withdrawal (drawing)**-is the cash or any asset withdrawn (taken away) from the business by the owner for personal use. Withdrawal is recorded in accounting record of the business.
8. **Gains**: It is the inflows of economic resources from peripheral transactions. Gain is an increase in assets or a decrease in liabilities or both effects due to abnormal operation of a business.
9. **Losses**: It represents the outflows of economic resources due to peripheral transactions. It has effect of an increase in liabilities or a decrease in assets or both due to natural and artificial disasters. There are gains and losses on available-for-sale securities, transactional gain or loss on foreign exchange etc.
10. **Comprehensive Income**: All changes in stock holders' equity (gain or loss) during a period except those resulting from investments by owners and distributions to owners

Accounting (Financial) Statements: Accounting statements are different summaries that communicate accounting information of a business to users and include Income statement, Statement of owner's equity, Balance sheet and Cash flow statement.

Each Financial statement is identified by three headings: The name of the business, the title of the statement and the specific date or period.

1. **Income Statement (statement of profit or loss and OCI):** This statement is a summary of revenues and expenses for the specific period of time. The procedure is the total expenses are deducted from the total of revenues to determine net loss or net income. For example, income statement for Hara Taxi.

Hara Taxi		
Income Statement		
For the Year Ended August 31, 1995		
Fares Revenue	Br 6,500	
Less: Expenses		
Wages Expense	1,200	
Rent Expense	850	
Utilities Expense	200	
Supplies Expense	800	
Miscellaneous Expense	150	
Total Expense		(3,200)
Net Income		<u>Br 3,300</u>

2. **Capital Statement (Statement of Owner's Equity):** This statement is a summary which shows change in owner's equity or capital. For Hara Taxi the capital statement is as follows:

Hara Taxi
Statement of Owner's Equity
For the period ended August 31, 1995

Hara Capital, August 1, 1995	Br 200,000
Add: Additional Investment	Br 100,000
Add: Net Income	3,300
Less: Withdrawal	(1,000)
Net Increase In Capital	<u>102,300</u>
Hara Capital, August 31, 1995	Br 302,300

3. **BALANCE SHEET (statement of financial position):** Balance Sheet is a statement that shows the financial position of a business on a specific date. It lists Assets, Liabilities and Capital on any specific date, which is the last date of the accounting period.

Hara Taxi
Balance Sheet
August 31, 1995

Assets:		Liabilities and Capital	
Cash	Br.27,200	Liabilities:	
A/Receivables	500	A/Payables	450
Supplies	50	Capital	
Land	75,000	Capital Hara, Capital	<u>302,300</u>
Taxi	200,00		
Total Assets	302,750	Total liabilities + OE	302,750

- Balance sheet is for GAAP, start from current to fixed assets/liabilities
- Statement of financial position is for IFRS, start from fixed to current assets/liabilities

4. **Cash Flows Statement:** Cash flows statement is a summary of cash inflows (Cash receipts) and Cash outflows (Cash payments) for a specific period of time. It is reported in three sections: Cash flows from operating activities, Cash flows from investing activities and Cash flows from financing activities.

Hara Taxi
Statement of Cash Flows
For the Year ended August 31, 1995

Cash Flows From Operating Activities:		
Cash inflow from revenue	6,000	
Cash outflow for expense	(2,800)	
Net cash flows from operating activities		3,200
Cash Flows From Investing Activities:		
Cash inflow from investing	0 00	
Cash outflow for investing	(75,000)	
Net cash flows from investing activities		75,000)
Cash Flows From Financing Activities:		
Cash inflow from financing	100,000	
Cash outflow from financing	(1,000)	
Net cash flows from financing activities		99,000
Cash Balance on August 31, 1995		<u>Br 27,200</u>

1.2. Accounting cycle

Definition - Accounting cycle refers to the procedures (steps) for gathering business transactions, processing and converting them into useful accounting information that will be communicated to users to serve as a basis for investment, credit and similar economic decisions.

Procedures/Steps in the Accounting Cycle: an accounting cycle consists of 10 specific procedures:

- | | |
|---|--|
| 1. <i>Identifying & measuring business transactions</i> | 6. <i>Preparing adjusted trial balance</i> |
| 2. <i>Journalizing business transactions</i> | 7. <i>spreadsheet (worksheet) is prepared</i> |
| 3. <i>Posting journal entries to accounts</i> | 8. <i>Preparing financial statements</i> |
| 4. <i>Preparing unadjusted trial balance</i> | 9. <i>Journalizing and posting closing entries</i> |
| 5. <i>Adjusting entries/adjustments/</i> | 10. <i>Preparing post-closing trial balance</i> |

Journalizing and posting reversing entries (optional). The aforementioned procedures are discussed below.

STEP 1: IDENTIFICATION AND MEASUREMENT OF BUSINESS TRANSACTIONS

Business transactions are events or conditions that must be recorded in terms of money in accounting records. The nature of Business Transaction shows that

- a) Business transaction could be Simple or complex,
- b) Business transaction could be Internal or external,
- c) it affects the financial position and its operating results or at least it affects two items and
- d) Business transaction must be supported by source documents (business papers).

Source documents include sales invoice, receipts, checks, check stub, freight bill, and etc. Business documents normally contain information as to the monetary amount to be recorded, the parties involved, the term of transaction and other relevant information such as nature and date of transactions.

The word accounting comes from Accounts. **An Account** is the type of separate records used for the purpose of recording all transactions related to individual item. A group of accounts is called ledger. The simplest form of an account has three parts: Title (the account name), a space for recording the amount of increases in item in terms of money and a space for recording the amount of decreases in item in terms of money. The left side of an account is called Debit Side and the word “Charge” sometimes used as a synonym for debit. Amounts entered in the left side of an account regardless of the account title are called debit and the account is said to be debited. The right side of an account is called credit side and the amount entered in the right side of an account is also called credit and the account is said to be credited.

Normal vs. Abnormal Balance of Accounts: The sum of increases recorded in an account is usually greater than or equal to the sum of decreases recorded in an account. For this reason, **the normal balance of all accounts is positive** rather than negative. Thus, the normal balance of any account is the increasing side.

Items	Increasing Side	Decreasing Side	Normal Balance
Assets	Debit	Credi	Debit
Liabilities	Credit	Debi	Credit
Capital	Credit	Debi	Credit
Drawing	Debit	Credi	Debit
Revenues	Debit	Credi	Debit
Expenses	Debit	Credi	Debit

Table: Summaries Rules of Debit and Credit with normal balances of accounts

Classification of Accounts: Accounts are classified based on common characteristics as a balance sheet accounts or income statement accounts

a) **Balance Sheet (real or permant) Accounts:** include **Assets, Liability and Owners Equity; they appear in the statement of financial position.** Assets are classified in the two groups:

- **Current Assets**-are any assets that may reasonably be realized in cash or sold or consumed within year or less period. For example: Cash, Accounts Receivable, supplies, commodities
- **PPE/Plant Assets**-these are used in the business operations and are of permanent nature. For example Equipment, machinery, building, furniture, land, etc

Liability- the two categories occurring most frequently are:

- **Current liabilities**- are liabilities that will be due within short period of time usually a year or less that have to be paid out current asset. For example: salary payable, interest payable, tax payable, and accounts payable.
- **Long term liabilities**- are liabilities that will not be paid or due or matured comparatively for long period of time usually more than one year. For example mortgage payable, notes payable

Owner's Equity-is a residual claim against the asset of the business after liability is fully deducted. For a corporation owners' equity is called **stock holder's equity**. Drawing represents the amount of cash or other assets taken out of the business for personal use and it is one of the capital accounts.

b) **Income Statement (Temporary)Accounts:** Income Statement Accounts are classified into seven and are listed in the order of revenue first and expense second. Gain, loss, drawing /dividend, additional investment and operating income.

Chart of Accounts: is the list of accounts along with their account numbers showing the sequence of account in the ledger. Accounts are sequentially arranged and given number for use as references.

According to their order in the financial statements **asset** comes first and then followed by liabilities, capital, revenues and expenses. A flexible system of numbering is desired. Such system has the advantage of permitting of the later insertion new accounts without disturbing other account number. In the above chart of accounts certain numbers (15, 16, 18, and 22, 55-58) have not been assigned.

Flow of Accounting Data: The flow of accounting data from the time a transaction occurs to its recording in the ledger is listed as follows:

A. **Transaction Occurs** – there must be business transaction, be it internal or external transaction, to initiate the flow of Accounting Data.

B. **Document Prepared**– If it is external transaction it must be supported by the necessary source documents.

C. **Analyzing Transaction:** Analysis of a transaction has a three steps procedure:

- Determining the accounts affected by the transaction
- Determining the effect of a transaction as increases and decreases
- Analyzing the increases and decreases as Debit and Credit

Example: The owner of JJ Arts Club invested Br 20,000 on January 1, 2005

- The accounts affected are Cash (Asset) and Capital (Owner's Equity)
- Cash increases and Capital also increases by Br 20000
- Cash increases is Debit and Capital increases is Credit

STEP 2: JOURNALIZING OF BUSINESS TRANSACTIONS

After analyzing transactions, they are recorded in a book called journal in an orderly manner.

Definition - Journalizing refers to the process of recording business transactions in journals. The journal is also referred to as “The book of original entry” Since original data transferred from the source document to the journal. Journal provides for transactions:

- **Permanency**-it is permanent record of transactions for reference
- **Orderliness** or chronology-transactions are recorded sequentially
- **Accuracy or Approval**- before transactions are recorded in their account approval will be made

There are two types of journals:

General Journal- is a journal on which any type of transaction is recorded upon.

Special journal- this is a journal on which one type of transaction with recurrent nature is recorded upon. Example: Special journals include the Cash Journal, namely cash payment and cash receipt journal, sales journal and purchase journal.

STEP 3: POSTING JOURNAL ENTRIES TO LEDGER ACCOUNTS

Posting a Transaction: The processing of transferring a transaction from journal to ledger accounts is called posting. The steps in posting are:

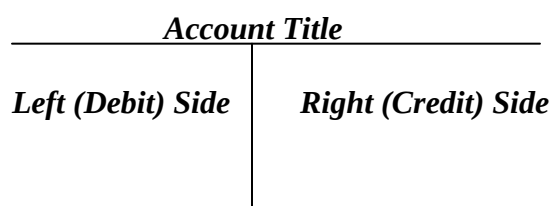
Step-1: Record the date and Post the debit or the credit

Step-2: Insert journal page numbers in the post reference column of ledger accounts

Step 3: Insert Account numbers in the post reference column of General Journal.

The simplest form of an account is called “**T**” **account**. It is so named because it looks like the capital letter “**T**” as shown in the figure below. In its most elementary form, an account (i.e. T account) has three parts:

- the **account title** - used to write the name of the account such as Cash
- the **left (debit) side** - a place to record increases or decreases in the account in monetary terms
- the **right (credit) side** - a place to record increases or decreases in the account in monetary terms



Two column account which consists of two date, post referencing, debit and credit columns

Example: The two-column account:

Account _____

Account number _____

Date	Item	P.R	Debit	Date	Item	P.R	Credit

STEP 4: PREPARATION OF UNADJUSTED TRIAL BALANCE

Trial Balance is the working paper which provides the proof of the equality of debit and credit balances. The trial balance is a two column schedule listing the names and balances of all accounts in the ledger i.e. debit balances are listed in the left hand column and the credit balances in the right hand column. It is intended to check the accuracy of the previous accounting procedures, **journalizing and posting**. Preparing a trial Balance requires five steps

- Determine the balance of each account
- List the accounts with a balance other than zero, the debits and credits in left & right column
- Add debit balances
- Add credit balances
- Compare the sum of the debit balances with the sum of the credit balances

Uses of a Trial Balance: trial balance provides a proof that the ledger is in balance and it is also a cornerstone for preparation of financial statements. The following types of errors will cause the two totals of the trial balance to be unequal.

Error in preparing the trial balance such as:

- One of the columns of the TB was incorrectly added
- The amount of an account balance is incorrectly recorded on the trial balance
- A debit balance was recorded on the trial balance as a credit or vice-versa or the balance was entirely omitted

Error in determining the account balances such as:

- A balance was incorrectly computed
- A balance was entered in the wrong balance column

Error in recording transaction in the ledger such as

- An erroneous amount was posted to the account
- A debit entry was posted as a credit or vice-versa
- A debit and a credit posting was omitted

Limitations of a Trial Balance

The trial balance does not prove that transactions have been correctly analyzed and recorded in the proper account because there are many errors that do not cause the two totals of the trial balance to be out of balance. The following errors do not affect the equality of the two columns of the trial balance:

- Failure to record a transaction or to post a transaction
- recording the same erroneous amount for both debit and credit parts of a transaction
- recording the same transaction more than once for both parts of a transaction
- posting a part of a transaction correctly as a debit or a credit but to the wrong account

Discovery of Errors

If the two totals of the trial balance are not equal, the error can be discovered in the following manner: (a) By Audit procedures, (b) By Chance discovery (c) Through the medium of the trial balance. Through the medium of the trial balance, first determine the difference between the debit total and the credit total. This gives the clue

- A difference of Br10, 100, 1000 is frequently the result of an error in addition
- If a difference divisible evenly by 2, the error is either the omission of a debit or a credit or the posting of debit as a credit or vice-versa.
- If the discrepancy of the two totals is evenly divisible by 9, the error is either transpositions or slide. Transpositions error is the erroneous rearrangement of digits. Slide error is the entire number is erroneously moved one or more spaces to the right or to the left.

STEP 5: ADJUSTMENTS (THE ADJUSTING PROCESS)

Revenues and expenses might be reported on the income statement by the cash basis or the accrual basis.

a) In the **cash basis of accounting**, revenues are reported in the period cash is received and expenses are reported in the period when cash is paid. In cash basis of accounting, the net income equals cash receipts minus cash payments. This basis of accounting is used by various professional service businesses. For most businesses, however, it is not considered an acceptable method.

b) In the accrual basis of accounting, revenues are reported in the period in which they are earned and expenses are reported in the period in which they are incurred. Thus, accrual basis of accounting requires adjusting processing.

Adjusting entries are the entries required at the end of the accounting period to bring the amounts up to date and to ensure the proper matching of revenues and expenses. Adjusting entries are internal transactions made at the end of the accounting period.

Illustrations of Adjusting Entry

1. Adjusting Deferred Expenses (Prepaid Expenses)

Adjusting entries are required for Prepaid Expenses like prepaid advertising, interest, rent, insurance etc and Supplies

Example 1: assume In a trial balance, the supplies account has a balance of Br 2000 on December 31, 2004 but the inventory of supplies on December 31, 2005 is Br 500, Determine the amount to be transferred from asset account (supplies) to the expense account (supplies expense)

Solution

2005	Supplies expense			1,500	
Dec31	Supplies				1,500

Supplies available during the year (Br 2,000) minus Supplies on hand (500)= Supplies used (amount of adjustment)1,500

Example 2 for Adjusting prepaid insurance: The balance of prepaid insurance account has a balance of Br 240 on September 30, 2004 which was paid for 24 months. As a result every month Br 100 is expired. What is the adjusting entry on December 31, 2005?

2005	Insurance Expense			100	
Dec31	prepaid insurance				100

2. Adjusting Deferred Revenue (Unearned Revenue)

Example:

On December 1, 2005 the balance in the unearned rent account is Br 720. This balance represents the receipt of three month's rent. At the end of December, the unearned rent account should be debited (decreased) by Br 240 and the rent income account should be credited (increased) by Br 240.

2005	Unearned Rent			240	
Dec31	Rent Income				240

3. Adjusting Accrued Expenses (Accrued Liabilities)

For example,

At the end of December accrued wages for Ethio Mobile Maintenance was Br 250. This amount is an additional expense of December and is debited to the salary expense and salary payable. In this example, December 1 is on Sunday and the first and the second salary payment on 13th and 27th^{of} December, respectively if salary is paid on biweekly basis. If payment for the next 10 working days is Br 1250 the accrued salary will be Br 250.

2005	Salary Expense		2 50		
Dec31	Salary Payable				250

4. Adjusting Plant Assets

For example, assuming that the estimated amount of depreciation for the month is Br 100, the adjusting entry debits (increases) Depreciation Expense by 100 and credit (increases) Accumulated Depreciation-Equipment by the same amount. Book Value (BV) an Asset = Cost – Accumulated Depreciation, Book Value of the Equipment= Br 7,000 – 100= Br 6,900.

2005	Depreciation Expense			100	
Dec31	Accumulated Depreciation-Equipment				100

Step 6: worksheet for Financial Statements

Worksheet for Financial Statements is a working paper often used by accountants to summarize adjustment data and assist in preparing the financial statements.

It is identified by three headings and has five columns: Trial Balance Column, Adjustment Column, Adjusted Trial Balance Column, Income Statement Column, and Balance Sheet Column.

Example: sample worksheet for the service rendering business.

Ethiopia Mobile Maintenance Work Sheet For The Year Ended December 31, 2004										
Title of Accounts	Trial Balance		Adjustment		Adjusted T B		Income Statement		Balance Sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash	2,740				2,740				2,740	
Account Receivables	1,800				1,800				1,800	
Supplies	2,000			A)1,500	500				500	
Prepaid Insurance	2,400			B) 100	2,300				2,300	
Office Equipment	7,000				7,000				7,000	
Land	10,000				10,000				10,000	
Account Payables		3,500				3,500				3,500
Unearned Rent		720	C)240			480				480
Samuel, Capital		16,050				16,050				16,050
Samuel, Drawing	1,000				1,000				1,000	
Service Revenue		10,700				10,700		10,700		
Salary Expense	2,500		D)250		2,750		2,750			
Rent Expense	800				800		800			
Utilities Expense	550				550		550			
Miscellaneous Exp.	180				180		180			
	30,970	30,970								
Supplies Expense			A)1,500		1,500		1,500			
Insurance Expense			B)100		100		100			
Rent Income				C)240		240		240		
Salary Payable				D)250		250				250
Depreciation Expense			E) 100		100		100			
Accum. Depreciation-Equip.				E) 100		100				100
			2,190	2,190	31,320	31,320	5,980	10,940	25,340	20,380
Net Income							4,960			4,960
							10,940	10,940	25,340	25,340

Uses of Worksheet:

1. It Reduces the Possibility of Overlooking the Need for Adjustments
2. It provides A Convenient Means of Verifying Arithmetical Accuracy
3. It Provides or the Arrangement of Data Is a Logical Form
4. It Provides the Source Data for the Financial Statements

Step 7: PREPARING FINANCIAL STATEMENT PREPARATION

After the work sheet is completed financial statements could be prepared easily. In the income statement and the balance sheet columns of the worksheet we transfer the income statement account balances (revenue & expenses) to the income statement and balance sheet account balances (Asset, Liability & owners' equity) to the balance sheet columns. The worksheet is an aid in preparing the financial statement namely the income Statement, The Capital Statement and the Balance Sheet.

Note: Financial statements may annual or interim. Statements that are prepared for a period of less than one year are called interim statements. A financial report that is prepared annually is said to be fiscal year statement.

Step 8: Journalizing and Posting Adjusting Entries

At the end of the accounting period, the adjustment data appearing in the work sheet are recorded in the journal and posted to the ledger. This procedure brings the ledger into agreement with the data reported on the financial statements. The adjusting entries are dated as of the last day of the period, even though they are usually recorded at a later date. Each entry may be supported by an explanation, but a suitable caption above the first adjusting entry is sufficient.

General Journal				Page
Date	Description	P/R	Debit	Credit
	Adjusting Entries			
December 31	Supplies Expense		1,500	
	Supplies			1,500
31	Insurance Expense		300.00	
	Prepaid Insurance			300.00
31	Unearned Rent		2400.0	
	Rent Income			2400.0
31	Salary Expense		250.00	
	Salary Payable			250.00
31	Depreciation Expense		100.00	
	Accumulated Depreciation-Equipment			100.00

Step 9: Journalizing and Posting THE CLOSING PROCESS

Some of the accounts in the ledger are temporary accounts used to classify and summarize the transactions affecting capital (owner's equity). These accounts will be closed after financial statements are prepared.

That is, their balances will be transferred to the Capital account. The temporary accounts that have to be closed are revenue, expense and withdrawal accounts. **Steps in closing:**

1. **Closing revenue accounts** - Debit each revenue account by its balance and credit the 'Income Summary' account by the total revenue for the period. *Note:* Income summary is an account used to close revenue and expense accounts. This account will immediately be closed to the capital account at the end of the closing process.
2. **Closing expense accounts** – Debit the income summary account by the total of expenses for the period and credit each expense account by its balance.
3. **Closing the income summary account** – Income summary will be closed to the capital account. The balance of his account depends on the nature of operation; credit if result is profit and debit if result is loss.
4. **Closing Withdrawal** – Debit the owners' equity account by the total of drawings for the period and credit the drawing account. To close drawing account-the drawing account is credited for the amount of its balance and the capital account is debited for the same amount.

General Journal				Page
Date	Description	P/R	Debit	Credit
	Closing Entries			
December 31	Service Revenue		10,700	
	Rent Income		240	
	Income Summary			10,940.00
31	Income Summary		5,980.00	
	Salary Expense			2,750.00
	Rent Expense			800.00
	Insurance Expense			100.00
	Supplies Expense			1,500.00
	Utilities Expense			550.00
	Depreciation Expense			100.00
	Miscellaneous Expense			180.00
31	Income Summary		4,960.00	
	Samuel, Capital			4,960.00
31	Samuel, Capital		1,000.00	
	Samuel, Drawing			1,000.00

Step 10: POST CLOSING TRIAL BALANCE

The last and optional procedure of the accounting cycle is the preparation of a trial balance after all the temporary accounts have been closed. The purpose of the post-closing trial balance is to make sure that the ledger is in balance at the beginning of the new accounting period. After the closing entries have been journalized and posted, a trial balance (called the post-closing trial balance) is prepared to prove the equality of the general ledger *before recording the New Year's transactions*. It should be noted that this trial balance includes only balance sheet accounts. This is because the temporary income statement accounts are closed during the closing process.

In practice the ledger balance after closing may be checked by a simple calculator print out rather than a formal trial balance. Anyhow the purpose of the post-closing trial balance is to make sure that the ledger is in balance at the beginning of the new accounting period *before recording the New Year's transactions*. The post-closing trial balance for Ethio Mobile Maintenance is presented below:

Ethio-Mobile Maintenance Post-Closing Trial Balance December 31, 2004		
Account	Debit	Credit
Cash	2,740	
Account Receivables	1,800	
Supplies	500	
Prepaid Insurance	2,300	
Office Equipment	7,000	
Accumulated Depreciation- Equipment		100
Land	10,000	
Account Payables		3,500
Unearned Rent		480
Salary Payable		250
Samuel, Capital		20,010
Total	25,340	25,340

1.3.Accounting for Merchandising Businesses

A business that buys and resells goods is called Merchandising Business. The goods that a merchandising company sells to its customers are called inventory (or merchandise). Merchandise may include anything, which a merchandising business can buy for resell purpose. Merchandising companies include both retailers and wholesalers. These companies purchase ready-made or ready to sell goods and get all earning or revenue by selling them.

Accounting for Purchases and Sales: A merchandising business can accumulate the cost of all merchandise purchased for resale in the purchases account.

The sale of merchandise during an accounting period credited to an account called “SALES”. Merchandises and may be purchases and sold on cash or may also be sold on account.

Illustration 1:

Mulu Super Market purchases 2000 cartons of Canned Fish from Century Trading House at a cost of Br 50 per carton on cash. Record the transaction for both the buyer and the seller.

Solution

The Buyer (Mulu Super Market):		The seller (Century Trading House):	
Purchases	1,000	Cash	10,000
Cash	100,000	Sales	100,000

Illustration 2: Lucy Cosmo Trading Company sold merchandises of Br 5,700 on credit to Selam Cosmetics. Record the transaction for both parties

Solution

The Buyer:		The Seller:	
Purchases	5,700	Accounts Receivable	5,700
Accounts Payable	5,700	Sales	5,700

Credit Terms, Cash Discounts and Return & Allowances

1. Credit Terms: The arrangements agreed upon by the buyer and the seller as to when payments for merchandise are to be made is called the credit terms. If the payment is required upon delivery, the terms are said to be “Cash term” or “Net cash term”. If the payment is not required upon delivery, the buyer is allowed a certain period of time for payment; the term is known as the credit period. The credit period usually begins with the date of the sale as shown by the date of the invoice or the bill. Examples of Credit Period terms:

- n/30 (i.e. net 30 days) – payment will be made/due within 30 days after the date of the invoice.
- n/EOM (i.e. net end of the month) – the payment will due by the end of the month in which the sales was made.
- 20/EOM (i.e. 20 end of the month) – Payment is due 20 days after the end of the month in which the sales was made

2. Cash Discounts: As a means of encouraging payment before the end of the credit period, the seller may offer a discount for the early payment of cash. Such type of deduction or discount is known, as a cash discount. It is a discount for prompt payment made from the invoice price. Cash discounts can be Purchase discount and Sales discount.

Illustration For this, the term “2/10, n/30” can be used and it means that:

- The credit period is net 30 days. The period during which a discount is available is called the Discount Period i.e. is the first 10 days
- The buyer will get a deduction of 2% of the amount of the invoice if it is paid within the 10 days of the credit period.

Illustration: On March 1, 2005 assume Hebesha Trading House purchased ready-made clothes from Kombolcha Textile Factory on account for Br 600,000; terms 2/10,n/30.

Instructions: record the transaction in the books of both the buyer and the seller assuming that

(A) the Buyer settled the payment within the discount period, and

(B) the Buyer did not settle the payment within the discount period

A) Within the Discount Period

The Buyer:		The seller	
Accounts Payable	600,000	Cash	588,000
Cash	588,000	Sales Discount	120,00
Purchase Discount	120,000	Accounts Receivable	600,000

B) After the Discount Period

The Buyer:		The seller	
Accounts Payable	600,000	Cash	600,000
Cash	600,000	Accounts Receivable	600,000

Note: From the buyer's stand point, it is important to take advantage of all available discounts even though it may be necessary to borrow money to make the payment. Net saving is the difference between the discount received and the interest to be paid for the 20 days i.e. if the business borrowed money and settled the liability within the discount period, the business can save an amount of Br 58.20

3. Return and Allowances

Merchandise purchased from the supplier may be unsatisfactory, defective or wrong specification. In this case the goods may be returned to the supplier (this is called Returns) or the buyer may requests for a price reduction or adjustment (this is called Allowances). The same return and allowance is referred by the buyer as purchases returns and allowances and by the seller as sales returns and allowances.

The buyer sends a **debit memo** to the supplier to notify that it is debiting the seller's account. It is recorded by crediting "Purchases Return and Allowances" or "Purchases" account. But management needs specific information as to the percentage of purchases return and allowances so that they prefer the credit goes to "Purchases Returns and Allowances".

The seller sends a credit **memo** to the supplier to notify that it is accepted. The effect of sales return and allowances is a deduction in sales revenue and a reduction in or account receivable.

Illustration: On July 8, 2005 Global Trading Enterprise sold merchandises on account to GYB Company Br 40,000 terms 3/10, n/Eom. On July 11, GYB Returned Br 4000 defective merchandises to Global which is part of the sale of July 8. On July 17, Global received cash from GYB. Instruction: record the transactions in the books of the buyer and the seller.

Trade Discounts, Sales Taxes, and Transportation Costs

1. Trade Discounts

The Buyer: July 8: Purchases 40,000 Accounts Payable 40,000	The Seller: July 8: Accounts Receivable 40,000 Sales 40,000
July 11: Accounts Payable 4,000 Purchase Return and Allowance 4,000	July 11: Sales Return and Allowances 4,000 Accounts Receivable 4,000
July 17: Accounts Payable 36,000 Cash 34,920 Purchases Discount 1,080	July 17: Cash 34,920 Sales discounts 1,080 Accounts Receivables 36,000

Illustration: KOKET Company purchased 600 units of merchandises from BB Company terms 3/10, n/30. The merchandise has a list price of Br 50 per unit with the trade discount of 20%, 10% and 5%. Assuming that KOKET Company is allowed all these discounts compute the invoice price for the 600 units and make the necessary journal Entries in the record of both Companies assuming that the buyer paid within the discount period.

➤ List price (600 units * Br 50)	Br 30,000.00
➤ Trade discount (20%*30,000)	<u>(6000.00)</u>
➤ Balance after the 20% TD	Br 24,000.00
➤ Less: TD (10%*24,000)	<u>(2,400.00)</u>
➤ Balance after the 10% TD	Br 21,600.00
➤ Less: TD (5%*21,600)	<u>(1,080.00)</u>
➤ Agreed Price or Invoice price	Br 20,520.00

The Buyer: Date of Purchases: Purchases 20,520 Accounts Payable 20,520	The seller: Date of Sales: Accounts Receivable 20,520 Sales 20,520
Date of Payment: Accounts Payable 20,520 Cash 19,904 Purchase Discount 616	Date of Receipts: Cash 19,904 Sales Discount 616 Accounts Receivable 20,520

2. Sales Taxes

Government usually levies or imposes tax on retail sales of merchandises. Sales of merchandise that will be resold are usually not taxed. A sales tax is imposed on the final consumer but the seller must collect the tax, file tax returns at a time specified by law and remit the collected tax on the reported sales to the government.

one of the sales tax which charged on the supply of most goods and services is for the value added on it(VAT). Some goods are not taxable. For example, postal services are not taxable. In addition, some persons and firms are exempted from sales tax- Ambassador and Embassy residents and Charities organizations (Zero Rated Firms). Nature of the business also affects the sales tax. A bank for instance does not have to add VAT on its bank charges and small firms, too. If small firms do register for VAT then they will have to keep full VAT records in addition to charging out VAT.

Illustration: assume Building Materials Supply Enterprise sold 200 KGs of nails at Br 10 per kilo; 600 iron sheets at Br 40 per sheet and 700 cans of Tsedey Paint at Br60 per can on January 5, 2004. The goods are subject to sales tax at the rate of 15%. Record the transaction.

Solution:

The journal entries are as follows:

Cash	78,200	
	Sales	68,000
	Sales Tax Payable	10,200
Sales Tax Payable	10,200	
Cash		10,200

3. Transportation Costs

The terms of agreement between a buyer and seller include **when** the ownership of the merchandise passes to the buyer and **which party** is to absorb the cost of delivering the merchandise to the buyer. There are two most common terms with respect to this:

- FOB (Free on Board) Shipping Point:** under this term the seller places merchandise “Free On Board” at the shipping point. Thus, (a) The buyer pays transportation costs (b) Ownership is transferred at point of shipment, (c) The goods are the property of the buyer after the point of shipment and (d) Any risk is absorbed by the buyer while the goods is in transit
- FOB Destination:** under this term the seller places merchandise “Free On Board” at the buyer’s final destination by paying the delivery costs. Thus,(a) The seller pays the transportation costs (b) Title or ownership to the goods is transferred at the buyer’s location (c) The goods are the property of the seller while in transit and (d) Any risk while the goods in transit is absorbed by the seller

When merchandise is purchased on terms of FOB shipping point, the transportation costs paid by the buyer is debited to **Transportation In or Freight In** or Purchases account.

In some cases, the seller may prepay the transportation costs and add them to the buyer, even though the agreement states that the buyer bear such costs (i.e. terms FOB shipping point). This is also debited to the same accounts as above.

When the agreement states that the seller is to bear the delivery costs (FOB Destination), the amount paid by the seller for delivery of merchandise is debited to **Transportation Out or Freight Out or delivery Expense** or a similarly titled account.

The total of such costs incurred during a period is reported on the seller's income statement as a selling expense and will not be included in the cost of goods sold.

Illustration 4.12: on February 1, 2004 RR Trading Company purchased merchandise on account from KK Company for Br 12,000, terms FOB shipping point 2/10, n/30 and the buyer paid a transportation cost of Br 100 to XX Transportation Company. On February 12, RR Company paid cash to KK Co.

Solution

February 1:	Purchases	12,000	
	Transportation-in	1,000	
	Accounts Payable		12,000
	Cash		1,000
OR:	Purchases	13,000	
	Accounts Payable		12,000
	Cash		1,000
February 12:	Accounts Payable	12,000	
	Cash		12,000

Illustration:

on May 1, 2004 Melat Private Limited Company sold merchandise to Belule Private Limited Company on account for Br 90,000 terms FOB destination 2/10, n/30. The seller paid Br 4,000 to TT Transport Share Co. and received the amount on May 10.

Instructions: journalize the above transactions:

May 1:	Accounts Receivable	90,000	
	Delivery Expense	4,000	
	Sales		90,000
	Cash		4,000
May 10:	Cash	88,200	
	Sales Discount	1,800	
	Accounts Receivable		90,000

4. Merchandise Inventory Systems:

The system through which you can determine Cost of Goods Sold and Cost of Ending Inventory is called inventory system. The two main systems for accounting for merchandise held for sale are the periodic inventory system and the perpetual inventory system.

- a) **The Periodic Inventory System** and Determination of Cost of Merchandise Sold: In this system: the purchase of merchandise is debited to purchases account; the revenue from sales is recorded when a sale was made but no attempt is made to record the cost of merchandise sold; the cost of Ending Inventory is determined by taking a physical inventory (counting the merchandise at hand or unsold and multiplying by its unit price); and the cost of merchandise sold (CMS) is determined as follows:

Merchandise Inventory (Beginning)	xxxxxx
Add: Purchases	xxxxxx
Less: Purchase Return & Allow	(xxxxxx)
Less: PD	(xxxxxx)
Net Purchases	xxxxxx
Add: Freight in	xxxxxx
Cost of merchandise purchased	xxxxxx
Cost of Merchandise Available for sales (CMAS)	xxxxxx
Less: Ending Inventory	(xxxxxx)
Cost of Merchandise Sold	xxxxxx

- b) **The Perpetual inventory system:** There is a continuous record of inventory items i.e. records cost of each inventory purchase and sale directly to the inventory account. In a perpetual system the account Inventory will be debited when there is a purchase of goods, no Purchases account.

Adjustments in Merchandising Business in the Periodic Inventory System

1. Adjusting Merchandise Inventory

Merchandise inventory account showed the inventory balance at the beginning of the period throughout an accounting period if the business is using Periodic Inventory System. Purchases and purchases related account are recorded separately during the year and thus at the end of the period two adjusting entries are required to update merchandise inventory account.

- A) To adjust beginning inventory:

Income Summary	_____	xxxxxx
Merchandise Inventory	_____	xxxxxx

- B) To adjust ending inventory:

Merchandise Inventory	_____	xxxxxx
Income Summary	_____	xxxxxx

Illustration: Assume from January 1, 2004, the merchandise inventory has a balance of Br 180,000 and the ending inventory on December 31 of the same year is Br 220,000.

Instruction: journalize the adjusting entry

Adjusting Beginning Inventory

Income Summary	<u>180,000</u>	
Merchandise Inventory		180,000

Adjusting Ending Inventory

Merchandise Inventory	<u>220,000</u>	
Income Summary		220,000

2. Adjusting Deferrals and Accruals

In merchandising business in addition to merchandise inventory, deferrals and accruals are adjusted.

Deferrals are an expense that has already been paid or revenue that has already been received. Deferrals are created when we record a transaction in the way that it delays or defers recognition of an expense already paid or revenue already received. Deferrals include deferred expense (prepaid expense) and deferred revenue (unearned revenue).

A) Deferred Expense (Prepaid Expense)

Deferred Expense is an expense that has been paid but delayed for recognition. At the time an expense is paid, it may be debited either to an asset account or to an expense. Examples: supplies, prepaid insurance, prepaid rent, prepaid interest, etc. Deferred Expense may initially be recorded as an asset or as an expense.

Prepaid Expense Initially Recorded As an Asset

Advance payments or prepayments for deferred expense is recorded as debits to the appropriate asset account even though all or a part prepayment is expected to be used or consumed during the accounting period. Thus,

- The adjusting entry transfers the amount used or expired during the period to the expense account
- The amount unused remains in asset account
- Reversing entry is not required

Illustration: assume that the unexpired insurance for OLYMPIC Company on January 1, 2003 amounted to Br 7,000. On January 2, the Company purchased additional insurance policy for a total of Br 12,000. Assume further that Br 14,000 of the premium or the insurance policy is expired during the year and the Company follows the system of recording prepayment for insurance as an asset. Record the Transactions:

Initial Recording:	Prepaid Insurance	<u>12,000</u>	
January 2, 2003	Cash		12,000

Adjusting:	Insurance Expense	<u>14,000</u>	
December 31, 2003	Prepaid Insurance		14,000

Closing:	Income Summary	<u>14,000</u>	
December 31, 2003	Insurance Expense		14,000

Reversing: Reversing is not required

Prepaid Expense Initially Recorded As an Expense

In this method:

Prepayments for deferred expense is debited to the expense accounts

- The adjusting entry transfers the amount unused or unexpired from expense account to the asset account.
- The amount expired or used remains in the expense account and closed at the end.
- Reversing entry is required- an entry which is made at the beginning of the period to comply with the initial recording system and the exact reverse of the adjusting entry

Illustration: Assume all the data in the above illustration except that the business follows the system of recording prepaid insurance as an expense and that the insurance policy that applies to the future period is found to be Br 5,000. Record all the necessary transactions:

Initial Recording:	Insurance Expense	<u>12,000</u>	
January 2, 2003	Cash	_____	12,000
Adjusting:	Prepaid Insurance	<u>5,000</u>	
December 31, 2003	Insurance Expense	_____	5,000
Closing:	Income Summary	_____	14,000
December 31, 2003	Insurance Expense	_____	14,000
Reversing:	Insurance Expense	5,000	
January 1, 2004	Prepaid Insurance		5,000

NOTE: In this system the assets account will have a zero balance whereas the expense will have a balance. This balance is not an expense rather it is an asset. Reversing entry transfers the amount unused back to an expense account i.e. the amount in prepaid insurance at the beginning of the new period is transferred to the expense.

B) Deferred Revenue (Unearned Rent)

Deferred revenue is revenue that has been received but delayed for recognition. Deferred revenue includes money received in advance such as magazine subscription, tuition fee revised by school, universities or college, money received by advertising companies. Deferred Revenue is initially recorded either as an asset or as an expense. Deferred Revenue Initially Recorded As a Liability If Deferred Revenue is initially recorded as a liability, then:

- The adjusting entry transfers the amount earned during the period from the liability to the revenue account

- The amount unearned remains in the liability account
- Reversing entry is not required

Deferred Revenue Initially Recorded As an a Revenue

In this method:

- Cash received in advance is credited to the revenue accounts
- the adjusting entry transfers the amount unearned from the revenue account to the liability account
- The amount earned remains in the Revenue account and closed at the end
- Reversing entry is required

Illustration: On November 1, 2004 OLYMPIC COMPANY rented the portion of its building by receiving Br 1200 in advance for three months' time. The fiscal period ends on December 31, 2004 Instruction: Make the necessary journal entries assuming that the system of recording Unearned Rent initially as a revenue and as liability:

	As a Liability		As a Revenue	
Nov.1, 2004	Cash_____ 1,200		Cash_____ 1,200	
	Unearned Rent ____ 1,200		Rent Income_____ 1,200	
Dec.31 2004	Unearned Rent 800		Rent Income 400	
	Rent Income_____ 800		Unearned Rent ____ 400	
Dec.312004	Rent Income 800		Rent Income 800	
	Income_____ 800		Income_____ 800	
	Summary_____		Summary_____	
Jan. 1, 2005	Reversing is not required		Unearned Rent ____ 400	
			Rent Income_____ 400	

Adjusting for Accruals

An accrual is an expense that has been incurred but not paid or revenue that has been earned but not received. Accruals include accrued expense (accrued liability) and accrued revenue (Accrued Asset).

A) Accrued Expense or Accrued Liability

Illustration 5.4: assume that on December 31, 2003 the end of fiscal year sales salary expense and office salary expense account for XYZ PLC have debit balances of Br 86,000 and 60,000, respectively. For the reason that payment date is different from the end of the accounting period, the total salary accrued is Br 10,000 out of which 4,000 was office salary expense. Assume that the business paid Br 20,000 on January 15, 2004 out which Br 8,000 was for Office salary Expense including the accrued salary. Instruction: Record all the necessary entries assuming that the business:

- Does not use the policy of reversing entry
- Uses the policy of reversing entry

Without Reversing Entry:

December 31	Sales Salary Expense	_____6,000	
	Office Salary Expense	_____4,000	
	Salary Payable	_____	10,000

December 31	Income Summary	_____156,000	
		_____0	
	Sales Salary Expense	_____	92,000
	Office Salary Expense	_____	64,000

Jan. 1, 2004: No Reversing Entry

Jan. 15, 2004:	Sales Salary Expense	_____6,000	
	Office Salary Expense	_____4,000	
	Salary Payable	_____10,000	
	Cash	_____	20,000

With Reversing Entry:

December 31	Sales Salary Expense	_____6,000	
	Office Salary Expense	_____4,000	
	Salary Payable	_____	10,000

December 31	Income Summary	_____156,000	
	Sales Salary Expense	_____	92,000
	Office Salary Expense	_____	64,000

Jan. 1, 2004:	Salary Payable	_____10,000	
	Sales Salary Expense	_____	6,000
	Office Salary Expense	_____	4,000

Jan. 15, 2004:	Sales Salary Expense	_____12,000	
	Office Salary Expense	_____8,000	
	Cash	_____	20,000

Worksheets for Merchandising Businesses

After all transactions were recorded and posted, the accounts in the ledger of a Corporation, Far East Trading, appeared with the following unadjusted balances. See the Trial Balance on the next Page. The data needed for yearend adjustments on December 31 are as follows:

➤ Merchandise Inventory on December 31, 2004	Br 150,500.00
➤ Insurance expired during the year	6,400.00
➤ Store supplies inventory on December 31, 2004	2,150.00
➤ Depreciation for the current year	19,200.00
➤ Accrued Sales Salaries on December 31, 2004	2,800.00
➤ Accrued Office Salaries on December 31, 2004	1,300.00

Required:

1. Complete the worksheet
2. Prepare Income statement in Single- step and Multiple- step forms
3. Prepare a Retained earnings Statement
4. Prepare a classified Balance sheet, in a Report form
5. Record the necessary year end adjusting and closing entries on general journal Page 1
6. Prepare a Post- closing trial balance

Far East Trading Corporation Trial Balance December 31,2004		
Account Title	Dr.	Cr.
Cash	43,750.00	
Accounts Receivable	96,150.00	
Merchandise Inventory	145,250.00	
Store Supplies	8,250.00	
Prepaid Insurance	12,690.00	
Store Equipment	89,500.00	
Accumulated Depreciation -Store Equipment		25,300.00
Accounts payable		44,740.00
Salary payable		—
Capital Stock		180,000.00
Retained Earning		81,445.00
Dividend	60,000.00	
Income Summary	—	—
Sales		953,500.00
Sales Discount	2,500.00	
Sales returns and allowances	3,000.00	
Purchase	610,050.00	
Freight in	6,000.00	
Purchase Discount		6,000.00
Sales Salaries expense	77,400.00	
Advertising expense	24,800.00	
Depreciation Exp.-Store Equipment		
Store Supplies expense		
Delivery Expense /Freight Out/	2,000.00	
Miscellaneous Selling — Expense	4,400.00	
Office Salaries Expense	39,845.00	
Rent Expense	40,000.00	
Heating and lighting Expense	16,100.00	
Taxes expense	8,500.00	
Insurance expense		
Miscellaneous General —expense	3,600.00	
Interest Expense	1,000.00	
Gain on disposal of equipment	— — —	3,800.00
Total	1,294,785.00	1,294,785.00

FAR EAST TRADING CORPORATION WORK SHEET FOR THE YEAR ENDED DEC.31,2004										
	Unadjusted T.B		Adjustment		Adjusted T.B		Income Statement		Balance Sheet	
Account Title	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	43,750				43,750				43,750	
Accounts Receivable	96,150				96,150				96,150	
Merchandise Inventory	145,250		150,500	145,250	150,500				150,500	
Store Supplies	8,250			6,100	2,150				2,150	
Prepaid Insurance	12,690			6,400	6,290				6,290	
Store Equipment	89,500				89,500				89,500	
Accumulated Depreciation - SE		25,300		19,200		44,500				44,500
Accounts payable		44,740				44,740				44,740
Salary Payable				4,100		4,100				4,100
Capital Stock		180,000				180,000				180,000
Retained Earnings		81,445				81,445				81,445
Dividend	60,000				60,000				60,000	
Income Summary			145,250	150,500	145,250	150,500	145,250	150,500		
Sales		953,500				953,500		953,500		
Sales discount	2,500				2,500		2,500			
Sales returns and allowances	3,000				3,000		3,000			
Purchase	610,050				610,050		610,050			
Freight in	6,000				6,000		6,000			
Purchase Discount		6,000				6,000		6,000		
Sales Salaries expense	77,400		2,800		80,200		80,200			
Advertising expense	24,800				24,800		24,800			
Depreciation Exp.-Store Equip.			19,200		19,200		19,200			
Store Supplies expense			6,100		6,100		6,100			
Delivery Expense/Freight out/	2,000				2,000		2,000			
Miscellaneous Selling - expense	4,400				4,400		4,400			
Office Salaries Expense	39,845		1,300		41,145		41,145			
Rent Expense	40,000				40,000		40,000			
Heating and lighting Expense	16,100				16,100		16,100			
Taxes expense	8,500				8,500		8,500			
Insurance expense			6,400		6,400		6,400			
Miscellaneous General- expense	3,600				3,600		3,600			
Interest Expense	1,000				1000		1000			
Gain on disposal of equipment		3,800				3,800		3,800		
Total						1,468,58	1,020,245			
Net Income							93,555			93,555
							1,113,800	1,113,800	448,340	448,340

Financial Statements for Merchandising Businesses

1. Prepare Income Statement In Single- Step And Multiple- Step Forms

A. Multiple-Step Income Statement

Far East Trading Corporation Income Statement For the year ended December 31, 2004		
Revenues:	In ETB	In ETB
Sales		953,500 .00
Less: Sales Discount	2,500.00	
Less: Sales Return & Allow.	3,000.00	(5,500.00)
Net Sales		948,000.00
Cost of Merchandise Sold:		
Merchandise Inventory, January 1, 2004	145,250.00	
Purchase		
610,050.00		
Less: Purchase Discount		
(6,000.00)		
Net Purchase		
604,050.00		
Add: Freight in		
6,000.00		
Cost of Merchandise Purchased	610,050.00	
Cost of Merchandise Available For Sale	755,300.00	
Less: Merchandise Inventory December 31, 2004	(150,500.00)	
Cost of Merchandise Sold		(604,800.00)
Gross Profit:		343,200.00
Operating Expenses:		
Selling Expenses:		
Sales Salaries Expense	80,200.00	
Advertising Expense	24,800.00	
Depreciation Exp.-Store Equip.	19,200.00	
Store Supplies Expense	6,100.00	
Delivery Expense/Freight-Out/	2,000.00	
Miscellaneous Selling Expense	4,400.00	
Total Selling Expense	36,700.00	
General Expenses:		
Office Salaries Expense	41,145.00	
Rent Expense	40,000.00	
Heating and Lighting Expense	16,100.00	
Taxes Expense	8,500.00	
Insurance Expense	6,400.00	
Miscellaneous General- Expense	3,600.00	
Total General Expense	115,715.00	
Total Operating Expense	(252,445.00)	

Income from Operation		90,755 .00
Other Income:		
Gain on Disposal of Equipment		3,800.00
Other Expense:		
Interest Expense	(1,000.00)	2,800.00
Net Income		93,555.00
B. Single Step Income Statement		
Far East Trading Corporation		
Income Statement		
For the year ended December 31,2004		
Revenue:		
Net Sales	948,000.00	
Other Income	3,800.00	
Total Revenue	951,800.0	
Costs and Expenses:		
Cost of Merchandise Sold	604,800.00	
Selling Expense	136,700.00	
General Expense	115,745.00	
Other Expense	1,000.00	
Total Expense	858,245.00	
Net Income	93,555.00	

2. Prepare a Retained Earnings Statement

Far East Trading Corporation		
Retained Earnings Statement		
For The Year Ended December 31, 2004		
Retained earnings, January 1, 2004		Br 81,445.00
Net Income for the Year	93,555.00	
Less: Dividends	(60,000.00)	
Increase in Retained Earnings		33,555.00
Retained earnings December 31, 2004		Br 115,000.00

2. Prepare a Classified Balance Sheet

Far East Trading Corporation		
Balance Sheet		
December 31, 2004		
Assets:		In ETB
Current Assets:		
Cash	43,750.00	
A/Receivables	96,150.00	
Merchandise Inventory	150,500.00	
Supplies	2,150.00	
Prepaid Insurance	6,290.00	
Total Current Assets		298,840
Plant Assets:		
Store Equipment:	89,500.00	
Less: Accum. Depreciation – SE		44,500.00
Total Plant Assets		45,000.00
Total Assets		343,840.0
Liabilities and Stockholders' Equity:		
Liabilities:		
Accounts Payable	44,740.00	
Salary Payable	4,100.00	
Total Liabilities		48,840.00
Stock Holders' Equity:		
Capital Stock	180,000.0	
Retained Earnings	115,000.0	
Total Stockholders' Equity		295,000.0
Total Liabilities and Stockholders' Equity		343,840.0

Corrections of Errors: If there is error in recording transactions or posting to ledger accounts, it will be corrected through correcting entries. For example a debit purchases account may be debited to plant asset account while the credit is correctly recorded. Thus, the correcting will debit purchases account and credit the plant asset account so that the error will be corrected.

1.4. Accounting For Cash and Temporary Investments

Definition of Cash: is a medium of exchange that a bank accepts for deposit and used immediately. As per this definition, cash includes the following items: coins, currencies, change fund, petty cash fund, balances in the unrestricted savings account and checking account, bank debit cards, bank credit cards such as master and visa cards which are acceptable by the commercial banks, money orders (postal or bank), travelers checks, CPO, personal checks, bank drafts, undeposited cash receipt (cash on hand).

Non-Cash Items: Even if all items other than cash are non-cash ones some non-cash items are confusing with cash and they are worth discussing at this point in time. Included in this category are: **NSF check-receivable, Postdated check-receivable, postage stamps-supplies or inventory, IOUs-receivable, treasury bills-receivables, certificate of deposits-short term investments, compensating balances-some other asset, travel advances-receivable, bank balance in the blocked account-some other asset, saving account balances-some other asset,** if it has got some sort of restrictions such as not be able to withdraw, say, Birr 5,000 unless prior notice of 10 days are served. However, savings accounts are usually classified as cash although the bank has the right to demand notice before withdrawal in that banks rarely exercise the privilege of prior notice.

Cash is the asset most likely to be used improperly by employees so it must be effectively safeguarded by special control. Businesses use different techniques to control cash. Some of these controls are useful to control over cash receipts while some are useful to control over cash payments.

Internal controls over cash receipts

- Use of cash register machine
- Use of pre-numbered and consecutive sales tickets
- Two or more persons should open and record the cash receipts through the mail
- Use of Electronic scanning equipment
- Use of Change fund
- Use of Bank System
- Use of Cash Short and Over Account

Internal Controls over Cash Payments

- Use of Petty Cash Fund
- Use of Voucher System
- Use of Bank System
- The Net Method of recording Purchases as opposed to Gross method

Bank System

- All cash received must be deposited in the bank and all payments must be made by checks drawn on the bank unless the amount is small.
- In some cases, a bank may require a business to maintain in a bank account a minimum cash balance, called a compensating balance.
- The requirement of compensating balance is imposed by the bank as a part of loan agreement.
- In Banking System different forms are used by depositors.

The forms used in connection with bank accounts are: Signature Card, Deposit Ticket/Slip and Check. A check is a written instrument signed by the depositor, ordering the bank to pay a certain sum of money to the order of a designated person. There are three parties regarding check:

1. Drawer: The one who signs the check
2. Drawee: the bank on which the check is drawn
3. Payee: - the one to whose order the check is drawn

Bank Account

- Cash in bank account in the depositor's ledger is the reciprocal of the account with the depositor in the bank's ledger.
- Cash in bank in the depositor's ledger is an asset with a debit balance, and the account with the depositor in the bank's ledger is a liability with a credit balance.

Bank Statement

The bank statement shows the beginning balance, checks and other credits (addition by the banks), checks and other debits (deduction by the bank from the depositor's account) and the balance at the end of the period. The bank credits the depositor's account for:

- Deposits by customer
- Receipts from notes receivable left for collection
- Loans to the depositor

The bank debits the depositor's account for:

- Paid or cancelled checks
- Service Charges
- Deposited Checks but returned because of insufficient funds (NSF)

Bank Reconciliation Statement

There are double records for the same cash, one of which is maintained by the Bank and the other is maintained by the Depositor. The two records should have equal balance, but they are not likely to be equal on any specific date because of:

1. Delay by either party in recording transactions
2. Errors by either party in recording transactions

1. Delay in Recording Transactions by the Bank

A) Outstanding Deposits: A time lag between the date of the deposit and the date it is recorded by the bank. E.g. the depositor may mail deposits to the bank or use the night depository.

B) Outstanding Checks: A time lag of one day or more between the date a check is written and the date it is presented to the bank for payment. E.g. on the business account, checks are recorded on the date on which they are issued by crediting cash though the bank does not yet pay it.

2. Delay in Recording Transactions by the Depositors

A) Bank Debit Memo: This decrease the cash in bank balance of the depositor and includes items such as:

- Not Sufficient Fund (NSF)
- Service Charge
- Check Printing

B) Bank Credit Memo: It increases the cash in bank balance of the depositor since cash in bank has a credit balance in banks ledger. Example: Proceeds of notes receivable and interest

3. Errors committed either by the Bank or the Depositor

Any error that has been made by the bank or by the depositor affects the two records. Thus, it should be considered in the Bank Reconciliation Statement.

Example: the reconciling items on February 28, Year 5, bank reconciliation of XYZ Company were as follows:

1. Balance in the bank statement, Feb 28, year 5 is Br 16,600
2. Balance in cash ledger account, Feb 28, year 5 is Br 11,060
3. Bank service charges for February, year 5 is Br 50
4. Deposit-in-transit, Feb 28, year 5 in Br 1,200
5. Error in XYZ Co. recording of Check No. 654 to vendor, ABC Company (Br 400 check recorded by XYZ as Br 40)
6. Interest on note receivable collected by bank for XYZ Co. on Feb 28, year 5 was Br 300
7. NSF checks for customer, Bell Company, charged back by bank on Feb 28, year 5 was Br 250.
8. Outstanding checks (total) Feb 28, year 5 is Br 4,100
9. Principal of notes receivable collected by bank for XYZ Co. on Feb 28 year 5 was Br 3,000

Required:

Prepare Bank Reconciliation Statement for XYZ Company and journalize the necessary entries

Balance as per Bank Statement		Br 16,600
Add: Deposit in Transit		<u>1,200</u>
Sub-Total		17,800
Less: Outstanding Checks		<u>(4,100)</u>
Adjusted Cash Balance		<u>13,700</u>
Balance per the Depositor Record		11,060
Add: Notes Collected By Bank	3,000	
Interest on Note Collected By Bank	300	<u>3,300</u>
Sub-Total		14,360
Less: NSF (Not Sufficient Fund)	250	
Bank Service Charge	50	—
Error in Recording Ck. No. 654 (400 — 40)	360	(660)
Adjusted Cash Balance		13,700

Feb. 28, Year 5:	Cash-in-Bank	<u>3,300</u>
	Notes Receivable	<u>3,000</u>
	Interest Income	<u>300</u>

Note: The data needed for adjusting entries are provided under the depositor section of bank Reconciliation Statement.

Example: Total amount of coins and paper money in the cash register drawer is Br 4,997.60. Total amount of sales shown on the cash register tape is Br 5,000.

Journal Entry:

Note: If there is a debit balance in the cash short & over account at the end of the period, it is treated as expense and included in “Miscellaneous Expenses”. If there is a credit balance, it is revenue and listed in “Other Income Section”. If the balance becomes larger than the expected minor errors, management should take corrective measures.

Cash Change Fund

Example: Suppose the change fund amount to be Br 500 at the time of establishment. Therefore, the record will be:

Cash on hand	500	
Cash in Bank		500

Assume at the end of business day the amount in the cashier drawer and on the cash register tape is 7,680, so the amount of sales should be:

➤ Cash in a Drawer	7,680.00	
➤ Change Fund	(500.00)	
➤ Sales	<u>7,180.00</u>	
Cash in Bank	7,180	
Sales		7,180

Assume at the end of business day the amount in the cashier drawer is 7,677.40 and the amount on the cash register tape is 7,180. The amount of cash received from sales = 7,677.40 – 500.00 = Br 7,177.40

➤ Sales as Per the Register	7,180.00	
➤ Cash in a Drawer	<u>(7,177.40)</u>	
➤ Cash Shortage	2.60	

Cash in Bank	7,177.40	
Cash Short & Over	2.60	
Sales		7,180.00

The Voucher System” Voucher is a special form on which is recorded relevant data about a liability and the details of its payment. It is prepared by accounting department on the basis of invoice or a memorandum that serves as proof of expenditure. This is done after the following comparisons:

1. Comparison of the invoice with a copy of the purchase order to verify quantities, prices and terms.
2. Comparison of the invoice with the receiving report to verify receipt of the items billed
3. Verification of the arithmetic accuracy of the invoice.

Petty Cash

It is a fund of money that is set for the purpose of making payments for small expenditure occurring very frequently and that do not justify the use of checks, since checks has printing costs and delay for approval of checks. In establishing a petty cash fund, the first step is to estimate the amount of cash needed for disbursements of relatively small amounts during a certain period such as a week or a month.

Petty Cash	xxxxx	
Cash in Bank		xxxxx

❖ If voucher system is used:

Petty Cash	xxxx x	
Accounts Payable	xxxxx	
Accounts Payable	xxxx x	
Cash in Bank		xxxxx

The fund is replenished when the amount of money in the petty cash fund is reduced to the predetermined minimum amount and at the end of an accounting period. Example: On December 1, 1993, ABC Co. established a petty cash fund of Br 450.

Petty Cash	<u>450.00</u>
Cash in Bank	450.00

December 19, 1993, because the money in the fund is reduced to Br 93.60, the fund is replenished. The disbursements are as follows.

➤ Delivery Expense	112.50
➤ Office Supplies	62.28
➤ Utility Expense	<u>180.00</u>
➤ Total	<u>354.78</u>

Compute Cash Shortage and Over:

➤ Petty Cash Balance	<u>450.00</u>
➤ Total Expenditure	354.78
➤ Expected Cash to be on Hand	<u>95.22</u>
➤ Less: Actual cash on hand	
➤ Cash Shortage	<u>1.62</u>

Journal Entry:

Delivery Expense	112.50
Office Supplies	62.00
Utility Expense	180.00
Cash Short & Over	1.62
Cash in Bank	356.40

Dec 31, 1993, the cash in fund is Br 240.75. The fund is replenished to include petty cash payment of:

➤ Delivery Expense	85.50
➤ Office Supplies	<u>123.75</u>
➤ Total	<u>209.25</u>

Compute Cash Short and Over

➤ Petty Cash Fund	<u>450.00</u>
➤ Less: Total Expenditure	209.25
➤ Expected Cash	240.75
➤ Actual Cash on Hand	<u>240.75</u>
➤ Cash Short and Over	0

Journal Entry is as follows:

Delivery Expense	85.50
Office Supplies	123.75
Cash in Bank	209.2

5

January 1, management decides the petty cash fund must be increased to Br 675.00

➤ New Petty Cash	675.00
➤ Already Established	<u>450.00</u>
➤ Incremental Petty Cash	225.00

Then the journal entry is debiting Petty Cash and Crediting Cash in Bank by Br 225.00. If petty cash is increased by Br 675, the journal entry will be debiting Petty Cash by Br 675.00 and Crediting Cash in Bank by the same amount

1.5. Temporary Investments

A business may have a large amount of cash on hand that is not needed immediately, in such a cause; the business may put all or part of it into income yielding investment such as:

- Certificates of depositors
- Money markets
- Treasury bills

In many cases, the idle cash is invested in securities that can be quickly sold when cash is needed. Such securities are known as Temporary investments or marketable securities. Temporary investments in securities include stocks and bonds. Short term investment is accounted for under lower of cost or market on aggregate basis.

Example 7.6:

Temporary Investment	Cost	Market	Unrealized Gain (Loss)
Security A	30,500.00	28,750.00	1,750.00
Security B	19,200.00	22,100.00	(2,900.00)
Security C	21,600.00	23,900.00	(2,300.00)
Security D	<u>70,300.00</u>	<u>65,250.00</u>	<u>5,050.00</u>
Total	141,600.00	140,000.00	1,600.00

Marketable equity securities would be reported in the current asset section of the balance sheet at market value of 140,000. No recognition of gain.

1.6. Accounting for Receivables

Receivables are amounts that are expected to be collected from different entities such as customers and organizations. Example based the source; receivables are classified as trade and non-trade receivables. And based on the nature, receivables are classified in to two as Accounts Receivable and Notes Receivables.

There are two parties regarding notes: (1) Payee – the party to which the ordered note is payable, and (2) The Maker – the party which is making the promise.

Example: On May 1, 2005 GG Co purchased merchandise for Br 5,000 from XYZ Co giving a written promise to pay after 90 days. Determine the Payee and the maker of the note

Payee: XYZ Company

Maker: GG Company

Example: Compute the interest on Br 10,000, 12%, 90 days promissory note.

➤ Interest = $10,000 @ 12\% @ 90/360$

➤ Interest = Birr 300

2. Determination of Due Date

Example:

X Company issued 90 days, 12%, Br 10,000 note, dated October 14 to Y Corporation in settlement of an open account. Determine the due date of the note.

Solution: Terms of the note 90 Days

Days remaining in October (31-14)	17 Days
Days in November	30 Days
Days in December	31 Days
Total	<u>78 Days</u>
Due Date, January	12

3. Determination of Maturity Value

Example : W Co. issued a 60 day, Birr 10,000, 12% interest bearing note , dated may 19 to L Corporation on account. Determine the Maturity Value of the Note. Solution:

➤ Face Value	Br 10,000.00
➤ Add: Interest (10,000 @ 12% @ 60/360)	<u>200.00</u>
➤ Maturity Value	Br <u>10,200.00</u>

3. Accounting For Notes Receivable

Example: ABC Co purchased merchandise for Br30, 000 on Nov 11, 1995 with terms 2/10, n/30 from XYZ Corporation. However, as ABC Company didn't pay its account to its creditors on the agreed date (Dec.11, 1995) and XYZ Corporation insisted the debtor to give a note in the place of the open account (A/R). Consequently, ABC Company signs a Br 30,000, 12%, 90 days interest bearing note dated December11, 1995.

Required: Record the appropriate journal entry to be made by XYZ Corporation (seller):

1. On December11, 1995 when the note was received
2. On December 31, 1995, end of the fiscal year
3. At maturity date of the note
 - A. Assuming reversing entry was made on Jan 1, 1996
 - B. Assuming reversing entry was not made on Jan 1,1996

Solution:

1. To convert an open account to a note

Dec. 11, 1995:	Notes Receivable	<u>10,000.00</u>	
	Accounts Receivable		10,000.00

2. To record accrued interest for 20 days

- From Dec. 11 to Dec. 31 = 20 days
- Accrued Interest = $30,000 @ 12\% @ (20 / 360) = \text{Br } 200$

Dec. 31, 1995:	Interest Receivable	<u>200.00</u>	
	Interest Income		200.00

4. On Maturity Date

A. Assuming Reversing Entry was made

Terms of the note	90 Days
Days Remaining December (31-11)	20 Days
Days in January	31 Days
Days in February	29 Days
Total	80 Days
Due Date: March	10

March 10, 1996:

Cash	30,900.00	
Notes Receivable		30,000.00
Interest Income		900.00

B. Assuming Reversing Entry was not made

Cash	30,900.00	
	0	
Notes Receivable		30,000.00
Interest Receivable		700.00
Interest Income		900.00

5. Discounting of Notes Receivable

Example: XYZ Corporation discounted the 90 days, 12%, Birr 30,000 notes receivable dated December 11, 1995 on December 21 at the rate of 14% at its local bank. Required: Determine the proceeds and record the journal entries at the time of discounting the note.

$$\text{Net Cash Proceeds} = \text{Maturity Value} - \text{Bank Discount Amount}$$

Where Maturity Value = Principal + Interest

Bank Discount = Maturity Value @ Bank Discount Rate @ Time

Solution: The Discount Period: (Dec. 21 – Feb. 9) = 50 days

Face Value of Note Dated Dec. 11	10,000.00
Interest 10,000 @ 12% @ 60/360	200.00
Maturity Value	10,200.00
Bank Discount = 10,200 @ 14% @ 50/360	198.33
Net Cash Proceeds	<u>10,001.67</u>

Journal Entry:

Dec. 21, 1991:	Cash	10,001.67	
	Notes Receivable		10,000.00
	Interest Income		1.67

Example: Assume the above note is discounted at 15% instead of 14%. Determine the net cash proceeds and record the journal entry.

Solution:	Face Value of Note Dated Dec. 11	10,000.00
	Interest 10,000 @ 12% @ 60/360	200.00
	Maturity Value	10,200.00
	Bank Discount = 10,200 @ 15% @ 50/360	212.50
	Net Cash Proceeds	<u>9,987.50</u>

Journal Entry:

Dec. 21, 1991:	Cash	9,987.50	
	Interest Expense	12.50	
	Notes Receivable		10,000.00

Note: If the Cash Proceeds > Face Value, Interest Income will be recognized. If Cash Proceeds < Face Value, Interest Expense will be recognized.

Dishonored Notes Receivable: Dishonored notes can be:

1. Before Discounting the Note

Example: If the XYZ Company received a 10,000, 60 days, 12% note and recorded on December 11, 1995 had been dishonored at maturity, the entry to charge the note, including the interest back to the customer's (ABC company) account would have been as follows:

Feb. 9, 1995:	Accounts Receivable – ABC Co.	10,200.00	
	Notes Receivable		10,000.00
	Interest Income		200.00

After Discounting the Note:

Example: Br 10,000, 60 days, 12% notes discounted on December 21, had been dishonored by the maker on maturity. The necessary journal entry in the book of endorser (XYZ Company) is:

Feb. 9, 1995:	Accounts Receivable – ABC Co.	10,200.00	
	Cash		10,200.00

Assume the bank charges endorser a protest fee of 10 birr and the endorser, who in turn charges it to the maker of the note in example 2, the journal entry in the book of endorser (XYZ Company) is:

Feb. 9, 1995:	Accounts Receivable – ABC Co.	10,210.00	
	Cash		10,210.00

Accounting for Uncollectible Accounts: There are two methods: (1) The Allowance Methods/Reserve Method and (2) Direct Write off Methods/Direct Charge off Method

Allowance Method Example:

ABC Company's account receivable has a balance of Br 25,000 at the end of the period. Based on study, it is estimated that a total of Br 2,000 will be uncollectible. The Adjusting Entry on December 31

	Uncollectible Account Expense	2,000.00	
	Allowance for Doubtful Accounts		2,000.00
Account Receivable		25,000.00	
Less: Allowance for doubtful account		2,000.00	
Net Realizable Value of account receivable		<u>23,000.00</u>	

Assuming Br 500 of the receivables is believed to be uncollectible and is written off on January 10, the entry would be as follows:

	Allowance for Doubtful Account	500.00	
	Accounts Receivables		500.00
Account receivable		24,500.00	
Less: Allowance for Doubtful Account		<u>1,500.00</u>	
Net Realizable Value of Account Receivable		<u>23,000.00</u>	

Note: there is no change in net realizable value of account receivable. Further assume that the Br 500 written-off in the preceding journal entry is later collected. The entry to reinstate the account would be as follows:

Accounts Receivables	500.00
Allowance for Doubtful Account.	_____ 500.00

Estimating Uncollectible: The estimate of uncollectible at the end of the fiscal period is based on past experience and forecasts of future business activity. The two methods to estimate uncollectible are:

1. Estimate Based on Credit Sales
2. Estimate Based on Analysis Age of Receivables

1. Estimate Based on Credit Sales

Example: Assume that the allowance account has a credit balance of Br 1,500 before adjustment. The credit sales for the year is Br 100,000 and it is known from past experience 1% of the credit sales will be uncollectible. Therefore, the adjusting amount will be = 1% @ 100,000= Br 1,000

Uncollectible Account Expense.	_____ 1,000.00
Allowance for Doubtful Accounts	_____ 1,000.00

After adjusting entry is posted, allowance for doubtful account has Br 2,500 credit balance.

If the balance of Allowance for Doubtful Account had been a debit balance of Br 300, the amount of the adjustment would still have been Br 1,000 (that is 1% @ 100,000)

Uncollectible Account Expense.	_____ 1,000.00
Allowance for Doubtful Accounts	_____ 1,000.00

After the adjusting entry is posted, allowance for doubtful account has Br 700 debit balance.

Note: a newly established business enterprise, having no record of credit experience, may obtain data from trade association journals and other publications.

2. Estimate Based on Analysis of Age of Receivables (Aging of Receivables) There are some steps in aging of receivables methods:

1. Classify account receivable by age(days that receivables past due)
2. Provide percentage provision for uncollectibility
3. Apply the percentage

Example:

Age Interval	Amount of Receivable	Est. Percentage of uncollectible	Amount of Uncollectible
Not due	60,000	1%	600
1 – 30 days	15,000	2%	300
31 – 60 days	10,000	10%	1,000
61 – 90 days	8,000	25 %	2,000
The Estimate of Uncollectible			<u><u>3,900</u></u>

The estimate of uncollectible account is 3,900. This amount is the desired balance of the Allowance for Doubtful Account after adjustment. Therefore, the adjustment will be determined taking into account the existing balance of the Allowance for Doubtful Account. Assume, the Allowance for Doubtful Account has a credit balance of Br 1,500 before adjustment. The adjusting entry will be by Br 2,400 (3,900 – 1,500)

Uncollectible Account Expense. 2,400

Allowance for Doubtful Accounts 2,400

After posting is made, the Allowance for Doubtful Account has a credit balance of Br 1,500 + 2,400 = Br 3,900. If there had been a debit balance of Br 300 in the Allowance for Doubtful Account before the year end adjustment, the amount of the adjustment would have been 4,200 (3,900 + 300=4,200)

Uncollectible Account Expense. 4,200

Allowance for Doubtful Accounts 4,200

After posting is made, the Allowance for Doubtful Account has a credit balance of Br 3,900.

Direct Write-off Methods

- The entry to write off an account when it is believed to be uncollectible is as follows:

Uncollectible Account Expense. xxxxx

Accounts Receivables xxxxx

- If an account that has been written off is collected later, the account should be reinstated.

- If the recovery is in the same fiscal year as the write off, the entry to reinstate is

Accounts Receivables xxxxx

Uncollectible Account Expense. xxxxx

- If the recovery is made in the subsequent fiscal year, it may be reinstated by an entry illustrated below:

Accounts Receivables xxxxx

Recovery of Written-off Uncollectible Account. Xxxxx

FUNDAMENTALS OF ACCOUNTING I

Review Exam

Part I. MULTIPLE CHOICES

Instruction: Choice the best answer and provide your answer on the space provided

- Which of the following groups are considered to be internal users of accounting information?
 - Employees and customers
 - Employees and managers
 - Customers and vendors
 - Government and banks
- Which of the following best describes accounting?
 - Can be thought of as the “language of business”
 - Is of limited or little use by individuals outside of the business
 - Records economic data but does not communicate the data to users
 - Relies upon concepts and principles that are independent of specific user needs
- Revenues are reported when
 - a contract is signed
 - Work is begun on the job
 - cash is received from the customer
 - Work is completed on the job

4. As of the end of its accounting period, December 31, 2020, GM Company has assets of \$940,000 and liabilities of \$300,000. During 2021, the owner invested an additional \$73,000 and withdrew \$33,000 from the business. What is the amount of net income during 2021, assuming that as of December 31, 2021, assets were \$995,000, and liabilities were \$270,000?
 - A. \$ 45,000
 - B. \$106,000
 - C. \$ 50,000
 - D. \$370,000
5. The objectivity concept requires that
 - A. business transactions must be consistent with the objectives of the entity
 - B. the Financial Accounting Standards Board must be fair and unbiased in its deliberations over new accounting standards
 - C. Basic accounting principles in IFRS must meet the objectives of the IASB
 - D. amounts recorded in the financial statements must be based on independently verifiable evidence
6. Cash investments made by the owner to the business are reported on the statement of cash flows in the
 - A. Financing activities section
 - B. Investing activities section
 - C. Supplemental statement
 - D. Operating activities section
7. Which one of the following activities would be reported on the Statement of Cash Flows as an Investing Activity, on the Cash Flow Statement
 - A. Cash paid for building
 - B. Cash paid to suppliers
 - C. Cash received from customers
 - D. Cash paid for owner's withdrawal
8. On the statement of cash flows, the cash flows from operating activities section would include
 - A. receipts from the issuance of capital stock
 - B. receipts from the sale of investments
 - C. payments for the acquisition of investments
 - D. cash receipts from sales activities
9. Which of the following would not appear on the statement of profit or loss and OCI?
 - A. Service Revenue
 - B. Net income
 - C. Interest Expense
 - D. Dividends paid
10. Which of the following would not appear on the Retained Earnings Statement?
 - A. Beginning retained earnings balance
 - B. Service Revenue
 - C. Dividends
 - D. Net Income
11. The Statement of Owner's Equity should be prepared
 - A. before the income statement and after the balance sheet
 - B. before the income statement and balance sheet
 - C. after the income statement and balance sheet
 - D. after the income statement and before the balance sheet

12. CM Service Share Company began the year with total assets of \$120,000 and stockholders' equity of \$40,000. During the year the company earned \$90,000 in net income and paid \$20,000 in dividends. Total assets at the end of the year were \$215,000. Stockholder's equity at the end of the year was:
- A. \$130,000
B. \$150,000
C. \$110,000
D. \$135,000
13. Using the information in Question 14, total liabilities at the end of the year were
- A. \$80,000
B. \$110,000
C. \$90,000
D. \$105,000
14. Use the following appropriate amounts to calculate net income: Revenues, \$12,000; Liabilities, \$5,000; Expenses, \$4,000; Assets, \$19,000; Dividends, \$4,000.
- A. \$6,000
B. \$4,000
C. \$8,000
D. \$14,000
15. SS Company has had a net income of \$8,000, \$5,000, \$12,000, and \$10,000 over the first four years of the company's existence. If the average annual amount of dividends paid over the last four years is \$3,000, what is the ending retained earnings balance?
- A. \$47,000
B. \$23,000
C. \$35,000
D. \$7,000
16. For a business using a periodic inventory system, which of the following is added to merchandising inventory at the beginning of the period in calculating the cost of merchandising available for sale?
- A. Purchase discount
B. Purchase returns and allowance
C. Freight out
D. Ending Merchandising inventory
17. If the supplies account, before adjustment on May 31, indicated a balance of Br. 2,250 and an inventory of supplies on hand at May 31, totaled Br. 950, the adjusting entry would be:
- A. Debit Supplies Br. 950, credit Supplies Expense Br. 950
B. Debit Supplies Br. 1,300, credit Supplies Expense Br. 1,300
C. Debit Supplies Expense Br. 950, credit supplies Br. 950
D. Debit supplies expense, Br. 1,300, credit Supplies Br. 1,300
18. If birr notes is collected by the bank, the bank may inform the depositor of the details by issuing
- A. debit memorandum
B. an invoice
C. credit memorandum
D. a bill
19. If the estimated amount of depreciation on equipment for a periodic is Br. 2,000, the adjusting entry to record depreciation would be:

- A. Debit Depreciation Expense, Br. 2,000, credit Equipment Br. 2,000
 - B. Debit Equipment, Br. 2,000, credit Depreciation Expense, Br. 2,000
 - C. Debit Deprecation Expense, Br. 2,000, credit Accumulated Depreciation, Br. 2,000
 - D. Debit Accumulated Depreciation, Br. 2,000, credit Deprecation Expense Br.2,000
20. A petty cash fund is:
- A. used to pay relatively small amounts
 - B. Established by estimating the amount of cash for disbursement to relatively small amounts
 - C. Reimbursed when the amount of money in the fund is reduced to a predetermined minimum amount.
 - D. All of the above
21. Which of the following account would NOT be closed to the income summery account at the end of a period?
- A. Sales
 - B. Expense
 - C. Drawing
 - D. Revenue
22. The post-closing trial balance would NOT include which of the following account
- A. Asset
 - B. Expense
 - C. Liability
 - D. Owner equity
23. If merchandise is sold on account to a customer for Br.1,000, terms FOB shipping Point, 1/10, n/30, and seller prepays Br.50 in transaction costs, the amount of the discount for early payments would be:
- A. Br. 0
 - B. Br. 5
 - C, Br. 10
 - D. 10.50
24. In preparing a bank reconciliation the amount of the outstanding check would be:
- A. Added to the cash balance according to the bank statement
 - B. Deducted from the cash balance according to the bank statement
 - C. Added to the cash balance according to the depositor's record
 - D. Deducted from cash balance according to the depositor's record
25. Assume that on August 10, 2022, Loin Company decides to establish a petty cash fund and writes a check of Br. 500 and made payments for the following items and requests replenishment for Br. 437. The payments are for Delivery expense Br. 160, Postage stamp Br. 72, purchase of supplies Br. 205. The journal entry to record the establishment of a petty cash fund is
- A. Debit Petty Cash Br.500, credit Cash in Bank Br. 500
 - B. Debit Cash in Bank Br. 500, credit Petty Cash Br. 500
 - C. Debit Supplies Delivery and Postage Expense Br. 437, credit Cash Br. 437
 - D. Debit supplies, Delivery and Postage expense Br. 500, credit Cash Br, 500

Part III: Work Out Section

1. The assets and liabilities of Africa Medical Services at March 31, 2021, the end of the current year, and its revenue and expenses for the year are listed below. The capital of the owner was \$360,000 at April 1, 2020, the beginning of the current year. Mr. Asmare Addisu invested an additional \$25,000 in the business during the year.

Accounts Payable	\$29,000	Miscellaneous Expense	\$2,060
Accounts Receivable	\$20,680	Office Expense	\$2,480
Cash	\$42,840	Supplies	\$3,340
Fees Earned	\$146,900	Wages Expense	\$47,100
Land	\$94,000	Drawing	\$33,140
Building	\$315,260		

Required: Prepare the following financial statements for the current year ended March 31, 2014

- Statement of profit or loss and other comprehensive income/an income statement,
 - Statement of owner's equity/capital statement/, and
 - Statement of financial position/balance sheet.
2. A summary of cash flows for ABC Consulting PLC for the year ended December 31, 2012, is shown below. Then prepare a statement of cash flows for company for the year ended December 31, 2012.

Cash receipts:

Cash received from customers	\$167,980
Cash received from additional investment by owner	50,000

Cash payments:

Cash paid for expenses	\$54,000
Cash paid for land	94,000
Cash paid for supplies	820
Drawing	10,000

The cash balance as of January 1, 2012	\$81,200
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3. The following unadjusted trial balance belongs to **Abadir** Super Market for year ended December 31,2022

Abadir Supermarket
Trial Balance
December 31, 2022

Account Title	Debit	
Cash	15,200	
supplies	2,500	
Prepaid Insurance	6,00	
Equipment	5,000	
Notes Payable		2,000
Accounts Payable		2500
Unearned Revenue		1200
Owner's Capital		15,000
Drawing	5,000	
Sales		12,500
Salaries Expense	4,000	
Rent Expense	900	
Total	33,200	33,200

Information for Adjustment

- a) Insurance expired during the year Br.1,800
- b) supplies on hand Br. 500
- c) Deprecation on office equipment Br. 1,200
- d) salary accrued Br. 1,500
- e) Interest accrued Br. 300

Instructions:-Using the above information of Abadir Supermarket prepares the following:

1. Record the adjusting entries
2. Prepare adjusted trial balance
3. Recording closing entries
4. Prepare post-closing trial balance

4. The bank statement of Dunlap company for April 30, 2022 indicated a balance of Birr 10,443.11 while the accounting records indicate the Cash balance in bank as of April 30, Br. 34,115.10. Comparison of the bank statement and the accompanying canceled check and memorandum with the records revealed the following items:
- a) The bank had collected for Dunlop Co. Br. 912 on a note left for collection. the face value of the note is Br. 900
 - b) A deposit of Br. 1,852.21 representing a receipt of April 30 had been made too late to appear on the bank statement
 - c) outstanding Check totaled Br. 3,265.27
 - d) A check drawn for Br, 79 had been wrongly recorded by the bank as Br.97
 - e) A check of Br. 10 returned with the statement had been wrongly recorded in the company's check register as Br.100. The check was for the payment of an obligation to Dawit Company for purchase of office supplies.
 - f) Bank service charge for April amounted to Br. 8.20

Required:

- a) Prepare bank reconciliation statement
- b) Prepare appropriate journal entries